Oracle Q3 2026 Earnings

Blind Sentiment & Directional Score: Outlook/guidance only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in$ {BUY, HOLD, SELL}, structured summary, evidence quotes.
- **HOLD band:** |overnight move| < 2.00%. Above +2.00%, BUY is correct. Below −2.00%, SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as (next-trading-day Open ÷ release-day Close) − 1, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Outlook/guidance only** as the ONLY report content. The other sections (the reported financial results, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The ±2.00% band applies to the overnight move only.

Report metadata

Company	Oracle Corporation (ORCL)
Report	Fiscal Q3 2026 (quarter ended 29 February 2026)
Release date	Tuesday 10 March 2026, after close
Earnings call	5:00pm ET
Source	Motley Fool transcript
Read mode	cold; management outlook/guidance only, no reported results, no Q&A, no price chart
Time to produce	37 minutes

Source material (read ONLY this)

Forward guide (assigned source: outlook/guidance only)

- Management declined to give numerical Q4 or fiscal 2027 revenue and EPS targets on this call.
- Financing: intent to raise up to $50B in debt and equity for calendar 2026, with $30B already secured via investment-grade bonds and mandatory convertible preferred. *"We do not expect to issue any additional bonds beyond this amount in calendar year 2026"* (Doug Kehring).

- Capex guidance deferred: *"More to come, John, on the CapEx after next quarter"* (Kehring, who emphasised an *"uncoupling of CapEx with capital requirements from Oracle Corporation"*, with over 90% of 10-gigawatt data centre capacity partner-funded).
- AI infrastructure gross margin running *"above our 30% guidance at 32%"* (Clay Magouyrk).
- Database services margins materially higher, in the *"60% to 80% range"* (Magouyrk).

Your scoring: fill in below, then seal

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1 Sentiment score

Score: −0.45

Rationale. A company raising up to $50B while declining to give Q4 or fiscal 2027 numbers and deferring capex guidance is not projecting confidence.

2 Directional signal

Signal: SELL

Rationale. Withholding targets while announcing a $50B financing need reads defensive. SELL.

3 Structured summary

- **What the source shows.** Partner-funded capacity and 32% AI margins are the constructive details.
- **What the source cannot show.** No results, so cannot see the growth that would justify the financing.
- **Expectations bar.** Refusing to quantify the next quarter tends to disappoint a market wanting reassurance.
- **Conviction.** Moderate-high conviction: the absence of guidance is itself the signal here.

4 Evidence quotes

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— SEALED —

Overnight move and call verification

ORCL close, 10 March 2026 (release day)	$149.40
ORCL open, 11 March 2026	$166.38
Overnight move	**+11.37%**

Call verification

- HOLD band test: $|+11.37\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+**11.37**%
D+1 close	+9.18%
D+3 close	+3.82%
D+5 close	+3.54%
D+10 close	−1.55%
D+20 close	−3.84%